

ALLOCATION BOOST

Industry insiders feel that there could be just a modest increase in the outlay for healthcare, building on the previous year's allocation of ₹90,659 crore, which marked a 12.6% rise from FY24.

Over the past decade, under the Union governments led by Prime Minister Narendra Modi, the health budget has grown by approximately 128%, with an absolute increase of ₹50,971 crore since FY15. Despite this, public health expenditure remains at just 2.1% of gross domestic product (GDP) as of 2024, falling short of the National Health Policy 2017's target of 2.5% by 2025. It is also well below the 5% recommended by the World Health Organization (WHO) for achieving universal health coverage.

The Covid-19 pandemic prompted a significant rise in healthcare spending, with the allocation reaching ₹71,269 crore in FY21 to support pandemic-related health measures and vaccine procurement. The allocation continued to increase in FY22, reaching ₹73,931 crore, focusing on recovery, vaccination, and expanding health infrastructure.

In Budget 2025-26, healthcare sector stakeholders expect the government to focus on key priorities such as strengthening primary healthcare, advancing digital health initiatives, and addressing gaps in medical education and workforce capacity. Healthcare experts recommend a substantial increase in the healthcare budget, proposing that it surpass 2.5% of GDP.

"I hope the Union Budget will increase allocations to the National Health Mission and the Digital Health Mission while also enhancing support for primary healthcare, district hospitals, and disease surveillance systems," says K. Srinath Reddy, public health expert and professor at the Public Health Foundation of India.

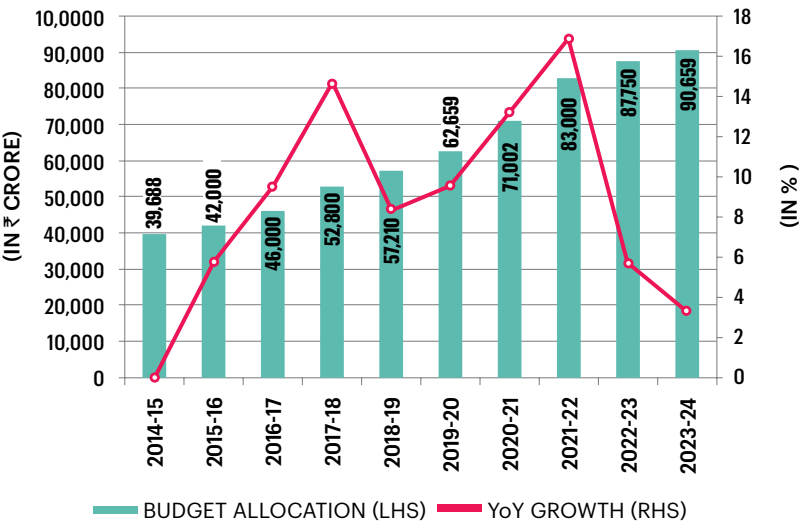
There are pressing problems that need immediate attention. India continues to face an infrastructure deficit with a shortage of hospital beds and medical equipment. The National Health Profile 2024 reveals that there are only 1.4 hospital beds per 1,000 people, far below the WHO's recommended 3 per 1,000. NITI Aayog's 2023 health infrastructure report warns that an addi-

STATE OF WELL-BEING

- ▶ **Health Budget Allocation:** The Modi government allocated ₹90,659 crore for healthcare in 2024-25, marking a 12.59% increase from the previous year
- ▶ **Public Health Spending:** Public health expenditure as a share of GDP has risen to around 2%, but remains well below the WHO's recommendation of 5%
- ▶ **Infrastructure Focus:** Government expected to prioritise public health infrastructure and digital health under the Ayushman Bharat Digital Mission
- ▶ **Pharma Support:** The Budget is anticipated to focus on pharmaceutical research, innovation, and boosting domestic manufacturing and exports

MINOR DIP

India's health budget has increased from ₹39,688 crore in FY15 to ₹90,659 crore in FY24



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